

7.2.1 Concept of CCA

Comparable Company Analysis (CCA), or trading multiples, involves comparing the valuation ratios of a target company to those of similar, publicly traded companies. The key is identifying comparable companies in terms of size, industry, growth prospects, and risk profile.

7.2.2 Key Steps in CCA

- **Selection of Comparable Companies:** Identify a peer group of companies with similar business characteristics.
- **Calculation of Multiples:** Common multiples include Price-to-Earnings (P/E), Price-to-Sales (P/S), and Enterprise Value-to-EBITDA. Apply these multiples to the financial metrics of the target company to derive its estimated value.
- **Analysis and Adjustment:** Analyze differences between the target and comparable companies. Adjust the valuation multiples based on factors such as growth rates, risk, and financial structure.

7.3 Dividend Discount Model (DDM)

7.3.1 Overview of DDM

The Dividend Discount Model (DDM) values a company based on the present value of its expected future dividends. This method is particularly relevant for companies that pay consistent dividends.

7.3.2 Components of DDM

- **Expected Dividends:** Estimate future dividends based on historical payouts, growth rates, and anticipated changes in the company's dividend policy.
- **Discount Rate:** Similar to DCF analysis, the discount rate reflects the cost of capital and risk associated with the investment.